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Developmental Culture and Effectiveness in Nonprofit Organizations

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ABSTRACT

Nonprofit organizations have historically been seen as a vanguard in U.S. civil society, supplying places and spaces for innovation and change to flourish. According to the Competing Values Culture Framework (CVCF), a developmental organizational culture, characterized by innovation and risk-taking, may help organizations respond to changes in their operating environments and be more effective at boundary-spanning activities, such as fostering external support, acquiring resources, and spurring growth. Despite its importance, the culture–effectiveness relationship has not been studied sufficiently in nonprofit organizations. The exploratory study described in this article examines the links between developmental culture and nonprofit organizational effectiveness. Results suggest that nonprofit executive directors see organizational culture as more than a phenomenon to be experienced. Specifically, findings indicate that executive directors perceive there to be a positive and significant relationship between developmental culture and how effective their organization is at performing boundary-spanning activities. The practical and theoretical implications of this finding are discussed.

KEYWORDS

nonprofit management;
nonprofit organizations;
organizational effectiveness;
organizational theory and
behavior

Nonprofit organizations have long been thought of as an integral part of the fabric undergirding civil society in American life. Often acting as agents of democracy, they encourage participation and act as stewards of the public interest. In addition, these organizations help to build the social capital that democratic societies rely on to function effectively. As such, understanding the factors influencing the effectiveness of nonprofits becomes an issue critical not only to theory building and program improvement, but also to democratic accountability and social change more broadly. Today, the operating environments of nonprofit organizations are more complex than ever. Reductions in philanthropic donations, cuts in government spending, increased competition, and an expanded need for human services have challenged nonprofits to search for new ways to respond to changing environmental demands (Young, Salamon, & Grinsfelder, 2012). Consequently, the historical role of nonprofits as innovators that pioneer unique approaches to the delivery of

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goods and services (Anheier, 2005, p. 174; Rose-Ackerman, 1996; Salamon, 1987) is becoming increasingly important, as organizations respond to these complex changes and search for new ways to foster effectiveness.

One important factor thought to be associated with organizational effectiveness in nonprofits is organizational culture. Jaskyte (2004) suggests that innovative organizational cultures help foster organizational effectiveness. Specifically, cultures of innovation are thought to signal the appropriateness of certain adaptive and transformative behaviors that help organizations respond effectively to the complex and changing needs of their external and internal environments (Jaskyte, 2004). Dynamic and innovative cultures that help to build an organization's adaptive capacity have also been linked to the long-term survival of nonprofit organizations, because they help them to meet environmental demands, take advantage of opportunities, and use resources effectively (Kanter & Summers, 1987).

Though an organizational culture centered on flexibility, adaptability, and innovation may help nonprofits manage environmental demands and foster organizational effectiveness, few studies have empirically investigated the links between organizational cultures that emphasize such values and organizational effectiveness in nonprofit organizations. Light (1998) noted that the nonprofit literature has often been more concerned with "the single act of innovation than with the organizational settings in which those acts take place" (p. 8). In fact, while numerous studies have examined the links between developmental organizational cultures, which are centered on values such as innovation, entrepreneurship, and risk-taking, and organizational outcomes in public and for-profit organizations (Lumpkin & Dess, 2001; Miller & Friesen, 1983; Moynihan, Pandey, & Wright, 2012; Pandey & Garnett, 2006; Pandey & Moynihan, 2006; Quinn & Spreitzer, 1991), the authors of the present article were not able to identify any other empirical study in the nonprofit context that examined the links between culture and effectiveness.

Given the historically important role of nonprofits as flexible organizations that are ready and able to act as innovators and entrepreneurs and the lack of empirical research examining the culture-effectiveness relationship in nonprofit organizations, the present article addresses this important question from the perspective of nonprofit executive directors: To what extent are developmental organizational cultures that reflect values of adaptability, innovation, and entrepreneurship associated with nonprofit effectiveness at fostering support, growth, and resource acquisition? To address this question, it is first necessary to define organizational culture broadly and developmental culture more specifically. The discussion then shows how the Competing Values Culture Framework (CVCF) can help managers understand the practical aspects of organizational culture. Next, it investigates the relationships proposed by the CVCF between developmental culture and effectiveness across sectors, and examines how theories of innovation and entrepreneurship

link developmental culture to effectiveness in nonprofit organizations. This literature is drawn upon to formulate and test a central hypothesis about the relationship between managerial perceptions of culture and effectiveness in nonprofit organizations. The article concludes with a discussion of the findings, study limitations, and the overall implications for nonprofit theory and management.

A framework for understanding organizational culture

Organizations are more than just structure. Academics and practitioners alike know that “much more goes on in the process of organizing than the charts, boxes, dotted lines, position descriptions and matrices can depict” (Waterman, Peters, & Phillips, 1980, p. 14). As sector blurring becomes the norm rather than the exception in all areas of organizational life, and conventional organizational forms are dismantled, nonmaterial cognitive structures such as organizational culture, that define what the organization stands for and where it intends to go, are of increasing importance (Albert, Ashforth, & Dutton, 2000). While there are many competing definitions and approaches to understanding organizational culture (Denison, 1996; Denison & Mishra, 1995; Taylor, 2014), most researchers agree that the construct can best be understood as a bounded set of shared values, beliefs, assumptions, and cognitions (Denison, 1996; Denison & Spreitzer, 1991; O'Reilly, Chatman, & Caldwell, 1991; Schein, 2010). These underlying beliefs and assumptions direct organizational behavior by indicating to members what attitudes and behaviors are appropriate and important (Schein, 2010). Unlike organizational activities, which can frequently change in response to environmental demands, organizational culture is seen as deeply embedded, stable, and enduring (Schein, 2010). For example, while an organization may decide to use social media as a way to connect with stakeholders, this activity change will not necessarily change the overall culture of the organization. As such, organizational culture provides organizations with a sense of identity and offers dynamic, open systems stability (Smircich, 1983).

Today, the environments that nonprofit organizations exist within are inextricably linked to internal systems (Adams & Perlmutter, 1995). Consequently, like most organizations, nonprofits are viewed as open systems whose survival depends on their ability to attend to complex and diverse environmental demands (Miller & Friesen, 1983). Multiple changes to the operating environments of nonprofits mean that they must be willing and able to adapt and develop innovative capacities in order to survive (Eikenberry & Kluver, 2004; Jaskyte, 2004; Jaskyte & Dressler, 2005). Jaskyte (2004) suggests that nonprofit managers can help their organizations respond to these environmental demands effectively by recognizing the ways in which cultures of innovation influence organizational effectiveness (Jaskyte, 2004). A more

robust understanding of the practical aspects of organizational culture may help nonprofit managers account for the role that culture plays in helping organizations cope with uncertainty and navigate difficult waters in times of environmental change.

One popular framework that has been widely used by organizational theorists (Lumpkin & Dess, 2001; Miller & Friesen, 1983; Moynihan et al., 2012; Pandey & Garnett, 2006; Pandey & Moynihan, 2006; Quinn & Spreitzer, 1991) to examine the practical aspects of organizational culture, and the specific relationship between a developmental organizational culture and organizational effectiveness, is the Competing Values Culture Framework. The two main underlying assumptions of the CVCF are (a) that all organizations can be characterized by common cultural traits, and (b) that these traits direct basic assumptions about organizational elements such as decision-making, compliance mechanisms, leadership, motivation, and effectiveness (Denison & Spreitzer, 1991; Kimberly & Quinn, 1984). Simply stated, the CVCF is a framework that managers and theorists can use to explore practical aspects of organizational culture, such as the relationship between organizational culture and organizational outcomes (e.g., effectiveness).

The four culture types proposed as part of the CVCF (hierarchical, rational, group, and developmental) fall along two main dimensions that represent the competing values of change versus stability and an internal versus external organizational focus (Denison & Spreitzer, 1991). After a brief explanation of the core components of each culture type, developmental culture, the focus of this study, will be explicitly defined and explained. Figure 1 identifies the two main dimensions of the CVCF, and the factors that define an organization's culture and guide the construction of its conceptualization of effectiveness.

As highlighted by Figure 1 (for a full review, see Denison & Spreitzer, 1991; Kimberly & Quinn, 1984), *group cultures* are primarily concerned with human development. The primary characteristics of a group culture include loyalty, tradition, cohesion, and morale. Thus, its compliance mechanisms include affiliation and attachment between individuals or groups, and its effectiveness values include discussion, participation, and openness. In *hierarchical cultures*, which are characterized by formalization and structure, emphasis is placed upon internal consistency and uniformity, and thus compliance is rule-based. Effectiveness values include stability, control, and continuity. *Rational cultures* are characterized by a production orientation, and emphasize efficiency and output maximization. Effectiveness is measured by productivity, profit, and accomplishment. Therefore, compliance is contractual and based on the maximization of output.

The focus of this article is on the fourth culture type identified by the CVCF, *developmental cultures*, which are characterized by entrepreneurship, innovation, and risk-taking. Developmental cultures place a premium on

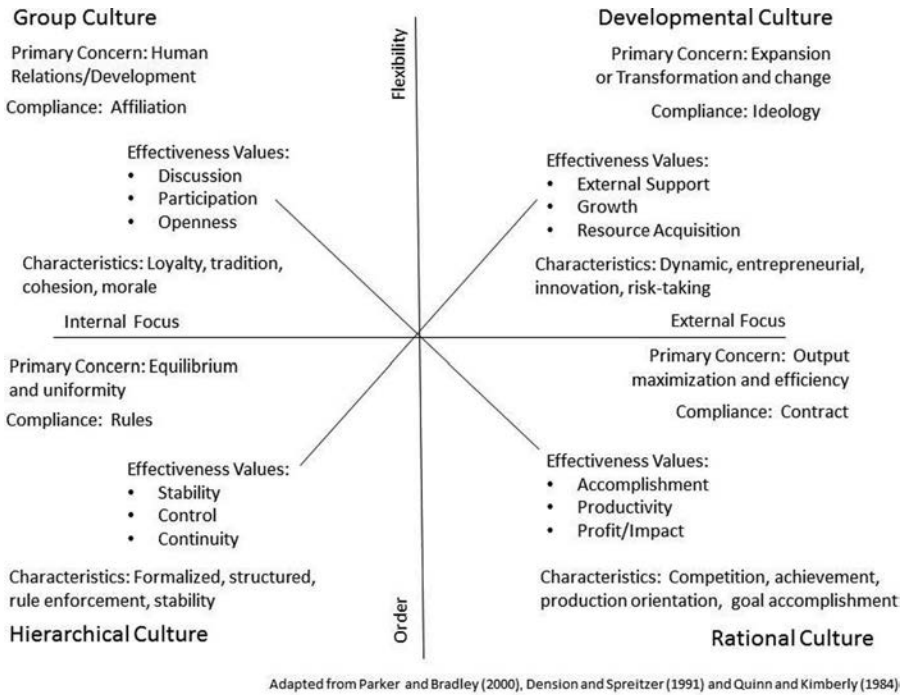


Figure 1. The competing values culture framework.

transformation and change. The focus of the developmental culture is on how well the organization can manage its environment and meet new demands (Moynihan & Pandey, 2005). Organizational members comply with needs based on task importance and ideological appeal, and the primary needs of individuals are for stimulation, innovation, and variety. Thus, it is not rules, relationships, or contracts that characterize the motivations of individuals within organizations that display dominant developmental cultures (Moynihan & Pandey, 2005), but rather the “ideological appeal of the task being undertaken” (Zammuto & Krakower, 1991, p. 87). A developmental culture will signal to members that appropriate behaviors and attitudes reflect values of innovation and entrepreneurship. Consequently, fostering external support, growth, and resource acquisition are the primary effectiveness criteria in organizations with developmental cultures. Simply stated, the CVCF posits that organizations with developmental cultures will determine how effective they are, in part, by their ability to grow and perform boundary-spanning activities, such as the gaining of adherents, support, or resources.

Given that exploring the link between developmental culture and organizational effectiveness is the topic of interest, one might hypothesize, in applying the CVCF to nonprofit organizations, that developmental culture is associated with an organization’s ability to effectively perform activities such as influencing policy or government decisions, raising public awareness of its cause, or

using social media to communicate with stakeholders and increase organizational funding (i.e., promoting growth, gaining supporters, and acquiring resources). In order to build a theoretical foundation capable of supporting a formal hypothesis about such links in the nonprofit context, the remainder of the discussion will first explain how organizational effectiveness is conceptualized and defined for the purposes of this article, and will then examine the theoretical and empirical evidence linking developmental organizational cultures to effectiveness in for-profit, public, and nonprofit organizations.

Developmental culture and organizational effectiveness

In general, effectiveness can be understood as the degree to which a desirable result is successfully achieved. However, despite this rather straightforward definition, consensus on what constitute the criteria of effectiveness in nonprofit organizations, which must often balance competing social and financial demands, remains elusive (Sowa, Selden, & Sandfort, 2004). As such, prior to proceeding with a review of relevant theoretical and empirical work investigating the links between developmental organizational cultures and effectiveness, it is necessary to explain the scope of the terms' use in the research reported in this article.

While notions of effectiveness may vary across organizations and programs (Herman & Renz, 1999; Quinn & Rohrbaugh, 1983; Sowa et al., 2004), models highlighting generalizable dimensions of organizational effectiveness can be used to further an understanding of the construct and its determinants. The CVCF is a model that highlights generalizable dimensions of organizational effectiveness from a cultural perspective. The understanding of effectiveness in this article is bound by using the CVCF. This means that the conceptualization of organizational effectiveness is predefined and very specific. According to the CVCF, effectiveness in organizations with developmental cultures will, in part, be judged by the degree to which the organization can foster support, grow, and acquire new resources. This is not to say that these are the only desired results in organizations with developmental cultures or that other culture types will not influence how effective an organization might be at boundary-spanning activities. It simply means that when developmental cultures are dominant, these boundary-spanning criteria may be more salient when judging organizational effectiveness.

Organizational effectiveness can be defined in many ways, but for the purposes of the present research organizational effectiveness is bound by the CVCF and refers only to effectiveness at fostering external support, growth, and resource acquisition, here collectively termed "boundary-spanning" activities. More specifically, boundary-spanning can be understood as externally oriented organizational activities that "link organizational structure to environmental elements whether by buffering, moderating or

influencing the environment” (Aldrich & Herker, 1977, p. 218). For example, the boundary-spanning activities of a government organization might include building interdependencies with other governments, citizens, and public and private organizations in order to pursue public purposes (LeRoux, 2014). In nonprofit organizations, boundary-spanning activities might include actions geared toward representing the organization to external constituencies or developing relationships that increase the flow of resources, broadly construed (Miller-Millesen, 2003).

Before proceeding with a review of the literature, it should be noted that some executive directors are required to balance many competing cultures that may signal the importance of diverse measures of effectiveness. The research presented here is exploratory in that it simply takes a first step at examining one specific and important relationship proposed by the CVCF, the link between developmental culture and effectiveness in a nonprofit context. While much has been learned about this specific relationship in public (Moynihan et al., 2012; Pandey & Garnett, 2006; Pandey & Moynihan, 2006) and for-profit organizations (Lumpkin & Dess, 2001; Miller & Friesen, 1983), it has not yet been addressed in the nonprofit literature. The theoretical and empirical evidence linking developmental organizational cultures to organizational effectiveness will now be examined, taking a comprehensive view and drawing from literature that spans the for-profit, public, and nonprofit sectors.

The primacy of developmental culture in for-profit organizations and its links to organizational effectiveness have been relatively well established theoretically and empirically (Covin & Slevin, 1991; Ireland, Hitt, & Sirmon, 2003; Morris, Coombes, Schindehutte, & Allen, 2007). “A central precept of the for-profit literature is that environmental threats force firms to become more strategic, adaptable and innovative” (Morris et al., 2007, p. 13) in order to survive and obtain a competitive advantage in the marketplace. Overall the adoption of a developmental culture is seen as a strategy to stimulate growth, enhance economic performance, and foster an increased sense of legitimacy among stakeholders (Covin & Slevin, 1991). Empirical studies consistently link developmental culture to performance and effectiveness in for-profit organizations. Hardcopf and Shah (2014) find that performance quality and flexibility in lean manufacturing firms is dependent on the organization’s having a developmental culture. Miller and Friesen (1983) find that an organization’s ability to manage system influences is more effective when innovation is a key component of the organization’s culture. Further, Lumpkin and Dess (2001) find a positive link between proactiveness, a key tenet of developmental cultures, and performance of for-profit firms. While the introduction of developmental cultures in public organizations is a newer phenomenon, similar associations to those in for-profit organizations have been found.

The adoption of developmental cultures in public sector organizations is a newer trend that reached a tipping point during the reinventing government movement (Kamarck, 2013). One charge of the reinvention movement was to fundamentally alter the culture of government organizations by replacing hierarchical cultures with cultures of innovation and entrepreneurship (Kamarck, 2013; Posner & Rothstein, 1994). It is difficult to determine what the long-term effects of a fundamental culture shift will mean for democracy and the structure of government organizations in the United States, but empirical evidence shows that the adoption of developmental cultures is associated with positive organizational-level outcomes. Pandey and Moynihan (2006) find that developmental cultures mitigate the negative effect of human-resources red tape on mission effectiveness. Developmental culture was also found to be an antecedent of organizational performance (Park, Lee, & Kim, 2016) and performance information use (Moynihan & Pandey, 2010), and, further, to mediate the relationship between transformational leadership and performance information use in government organizations (Moynihan et al., 2012). In addition, enhanced interpersonal communication in the workplace (Pandey & Garnett, 2006), executive well-being (Quinn & Spreitzer, 1991), trust, morale, and leadership credibility (Cameron & Freeman, 1991) are all believed to be positively related to the adoption of a developmental culture by public organizations.

Despite the links between developmental culture and effectiveness in for-profit and government organizations, and the historical importance of nonprofit organizations as the vanguard and incubator of experimentation, innovation, and transformation, the link between developmental cultures and organizational effectiveness has not been examined in the nonprofit context. When culture is addressed in nonprofit studies, with but a few exceptions (Jaskyte, 2004; Jaskyte & Dressler, 2005), it is often incorporated as part of larger studies on organizational characteristics or behavior (Allen, Smith, & Da Silva, 2013; Kim, 2016) rather than as the key construct of interest. The present discussion draws both on insights from entrepreneurship theories of nonprofit existence and on theories of organizational innovation to examine the link between organizational culture and effectiveness in the nonprofit context. This literature is then tied to the propositions outlined by the CVCF to assess the generalizable dimensions of nonprofit organizational effectiveness from a cultural perspective.

Entrepreneurship theories explain the existence of nonprofit organizations from a supply-side perspective as entities engaged in continuous innovation, focused on creating social value through the pursuit of new opportunities (Anheier, 2005). These theories recognize that the primary interest of a nonprofit may not be in profit or the simple provision of services, but rather the achievement of some other ultimate objective (Anheier, 2005). To achieve this ultimate objective, the nonprofit must be able to acquire both financial

resources and believers, adherents, or members who further the larger aims of the organization (James, 1987, 1989; Rose-Ackerman, 1996). Similarly, in organizations with developmental cultures (see Figure 1), an organization is judged effective according to whether or not it can acquire the support and resources it needs in order achieve its ultimate objective of transformation or change. Simply stated, entrepreneurial theories of nonprofit organizations portray them as inherently developmental from the perspective of the CVCF. However, it should be noted that developmental cultures embody much more than the notion of entrepreneurialism. For its part, entrepreneurialism is simply one facet or activity that might be deemed acceptable by the members of an organization with a developmental culture.

It is clear that nonprofits today are engaging in entrepreneurial activities, such as adopting fee-for-service structures (Chetkovich & Frumkin, 2003), launching earned-income and commercialization strategies (Eikenberry & Kluver, 2004; Foster & Bradach, 2005), entering into shared-value initiatives (Porter & Kramer, 2011), and forming cause-related marketing alliances (Liu & Ko, 2011). What these activities do not tell us is whether they have a meaning for members that manifests in deeper cultural structures that drive how the organization judges its own effectiveness. Whether entrepreneurial practices such as these will have a positive or negative overall effect on the spirit and values of the nonprofit sector is an area of debate among both scholars and practitioners (Eikenberry, 2009; Eikenberry & Kluver, 2004). However, preliminary findings have linked similar yet distinct constructs such as social enterprise and entrepreneurial orientation to positive organizational outcomes. Specifically, research suggests that entrepreneurial nonprofits perform better on financial measures of effectiveness, receive greater social recognition, and improve managerial efficiency, social performance, and customer satisfaction (Barrett, Balloun, & Weinstein, 2005; Coombes, Morris, Allen, & Webb, 2011; Felicio, Gonçalves, & Conceição Gonçalves, 2013; Liu, Takeda, & Ko, 2012; Shoham, Ruvio, Vigoda-Gadot, & Schwabsky, 2006).

In addition to entrepreneurialism, developmental cultures also highlight the importance of adaptability and innovation for effectively managing the organization's operating environment (Denison & Spreitzer, 1991). The nonprofit sector has been characterized as inherently innovative and as "a laboratory for experimentation and risk-taking" (Frumkin, 2002, p. 32). Further, scholars have stressed the important role of the nonprofit sector as an experimenter and innovator responsible for developing pioneering approaches to service delivery (Gummer, 1989). Drucker (1990) contends that innovation may be more important for nonprofit organizations than for business organizations because of the great challenges and opportunities that today's rapidly changing society places upon nonprofits; and Hasenfeld (1983) suggests that the capacity to innovate is a key factor in determining the long-term survival of nonprofit human service organizations. In a case

study of one nonprofit focused on addressing the needs of the developmentally disabled, Grabowski, Neher, Crim, and Mathiassen (2014) found that the organization was able to survive and thrive over its 50-year history by innovating and adapting to its environment, through the implementation either of structural changes, service changes, or management changes. This flexibility and readiness to adapt and grow is central to developmental organizational cultures, as outlined by the CVCF.

Taken together, theories of entrepreneurship and innovation suggest that many nonprofits exist to fulfill entrepreneurial roles in civil society. Further, those organizations with developmental organizational cultures that stress the values of innovation may have a leg up when it comes to effectively managing their environment (Jaskyte, 2004). As organizations continue to manage an evolutionary phase characterized by the transformation of conventional organizational forms, nonprofits must often draw upon all available resources, both traditional and nontraditional, in order to capitalize upon social value creation opportunities (Morris, Webb, & Franklin, 2011). Today, whether intentionally or unintentionally, nonprofits are increasingly reflecting upon the role that developmental organizational cultures play in helping to capitalize on such opportunities and foster effectiveness.

As is evidenced by the theoretical and empirical links between entrepreneurialism and innovation in nonprofits and an organization's ability to grow and acquire new resources, when organizations increasingly emphasize developmental values, effectiveness measures associated with developmental cultures are likely become more important. Consequently, in line with theories that suggest nonprofit organizations have a proclivity toward entrepreneurial activity, and the links posited between innovation and effectiveness in nonprofit organizations, the following hypothesis is proposed, based on the competing-values culture framework:

- H1: A positive association will exist between nonprofit organizations with developmental cultures and managerial perceptions of effectiveness at boundary-spanning activities.

Data, measures, and method

This analysis uses "culture module" data collected through the National Nonprofit Organizational Studies Project (NOSP), a multi-method, multi-module study administered by Kelly LeRoux, with funding from the Institute for Policy and Civic Engagement at the University of Illinois-Chicago. The study had multiple purposes, one of which was to better understand executive directors' perceptions of developmental organizational culture and organizational effectiveness. A key part of the study was a web-based survey administered to executive directors of nonprofit human service organizations in the fall of 2012. The study analyzes the subset of the web-based survey respondents

who were administered the culture question module.¹ A total of 364 executive directors/CEOs of nonprofit organizations having a primary mission of mental health, housing, economic development and family planning, senior services, and human services were administered the culture module. All of the organizations have 501(c)(3) status and budgets of \$100,000 or more. Standard survey research procedures were used as a guideline for administering the online surveys (Dillman, Smyth, & Christian, 2008). Potential respondents were sent an initial letter through the U.S. mail that introduced the study and provided details about how to participate. One week later, all potential respondents were sent an e-mail containing a unique link in order to access and complete the survey. E-mail reminders were sent multiple times to nonrespondents over an 8-week period. The response rate was 34% ($n = 116$).

The study tested a central hypothesis derived from the CVCF and from entrepreneurial theories of nonprofits about the link between developmental organizational culture and organizational effectiveness in nonprofit organizations. In line with the nonprofit management literature on organizational effectiveness (Brown, 2005; Siciliano, 1996; Sowa et al., 2004), the primary dependent variable, Effectiveness of boundary-spanning activities, is a multidimensional measure of nonprofit effectiveness. Specifically, the survey asked nonprofit executive directors to report their perceptions of effectiveness on seven different measures representing both internal and externally oriented (boundary-spanning) activities: achieving core mission, strategic decision-making, increasing funding, meeting funders' performance expectations, raising public awareness of the organization's cause, using social media to communicate with stakeholders, and influencing policy or government decisions.

As a first step in constructing the primary dependent variable, Effectiveness of boundary-spanning activities, a principal component factor analysis was performed with varimax rotation of the seven effectiveness measures that nonprofit executive directors were asked to report on in the survey. As indicated by Table 1, the measures loaded on two distinct dimensions. While two factors were retained by the analysis, the primary interest was in examining the four items that loaded on the first factor. These four items have been

Table 1. Factor analysis of effectiveness measures.

	Factor 1	Factor 2
Achieving core mission	0.037	0.819
Making strategic decisions	0.317	0.669
Increasing organizational funding	0.564	0.374
Meeting funders' performance expectations	0.057	0.783
Raising public awareness of our cause	0.822	0.133
Communicating with stakeholders through social media	0.755	-0.008
Influencing policy or government decisions	0.493	0.140
Initial eigenvalue	1.91	1.91
% of variance explained	27.32	27.28

Note: Extraction Method: Principal Component Factor Analysis. Rotation Method: Varimax.

labeled “effectiveness at boundary-spanning activities” based on their commonalities.

Based on the results of the factor analysis, a scalar measure was created from the four survey items representing “effectiveness at boundary-spanning activities.” Specifically, the four items asked executive directors how they would describe the effectiveness of their organization at (a) influencing policy or government decisions (local, state, or national) that pertained to their mission, (b) raising public awareness of their organization’s cause, (c) using social media to communicate with stakeholders, and (d) increasing the organization’s funding. While the Cronbach’s alpha ($\alpha = 0.61$) was a bit low, it is considered acceptable for exploratory studies in the social sciences (Hair, Black, Babin, Anderson, & Tatham, 2006). Responses were measured on a Likert-type scale where 1 = *not at all effective*, 2 = *marginally effective*, 3 = *somewhat effective*, 4 = *largely effective*, and 5 = *completely effective*.

Admittedly, self-reported measures of effectiveness pose limitations, and an ideal study would incorporate objective as well as subjective measures. However, self-reported Likert-type measures of organizational effectiveness have been employed extensively in public management research (Chen, 2010; Garnett, Marlowe, & Pandey, 2008; Moynihan & Pandey, 2005; Pandey, Coursey, & Moynihan, 2007) as well as nonprofit management research (Herman & Renz, 1999; Johansen & LeRoux, 2013), and the measures in this article are very similar to those that used in these studies. Further, because effectiveness is believed to be at least partially socially constructed (Herman & Renz, 1999; Sowa et al., 2004), it must be acknowledged that executive directors of nonprofits are likely required to make judgments about the effectiveness of their own organizations (Herman & Renz, 1998), and thus find this subjective interpretation a valuable one. The [Appendix](#) provides a detailed description of all variable measures.

Commonly used measures that have undergone validation in numerous prior studies (Cameron & Freeman, 1991; Moynihan et al., 2012; Pandey & Garnett, 2006) comprise the key independent variable, Developmental culture. This variable is measured using five measures ($\alpha = 0.78$) that represent key cultural features, including entrepreneurialism, growth, risk-taking, dynamism, and innovation (Cameron & Freeman, 1991; Denison & Spreitzer, 1991; Kimberly & Quinn, 1984). In addition, the analysis controls for a number of individual, organizational and environmental-level factors thought to influence how effective an organization is at performing boundary-spanning activities (for a full review, see Johansen & LeRoux, 2013), including the organization’s age, percentage of government funding, number of full-time employees, executive-board relationship, the executive director’s tenure, whether or not the executive director is the organization’s founder, and the number of board members. Table 2 provides univariate descriptive statistics for all variables in the model.

Table 2. Descriptive statistics for model variables.

Variable	Obs.	<i>M</i>	<i>SD</i>	Min	Max
Effectiveness of boundary-spanning activities	112	11.97	2.51	4.00	19.00
No. of full-time employees	114	83.65	179.74	0.00	1500.00
Executive/board relationship	106	3.86	3.67	0.00	17.00
Executive tenure	93	13.94	8.57	1.00	34.00
Organizational age	114	33.27	16.42	7.00	79.00
Founder	114	0.26	0.44	0.00	1.00
Government funding (%)	112	45.06	33.36	0.00	100.00
No. of board members	100	16.11	9.96	0.00	90.00
Developmental culture	113	19.30	3.22	7.00	25.00

Because the dependent variable is continuous, the model was estimated using ordinary least squares regression with robust standard errors to correct for the heteroscedasticity common in cross-sectional analysis. Prior to running the OLS models, the correlation matrix and variance inflation scores were examined to assess for collinearity. There were no strong correlations between the predictors. All VIF scores were examined and were well below 5 (highest VIF = 1.22), the value at which concerns of multicollinearity arise (Berk, 2004). To aid the interpretation of marginal effects, both unstandardized and standardized coefficients are reported.

Findings and discussion

Insight drawn from the CVCF suggests that effectiveness values in organizations emphasizing a developmental culture will center on fostering external support, growth, and acquiring resources in order to affect change. The purpose of the study was to determine whether these contentions hold in a nonprofit setting. In line with the CVCF, it examined, from the perspective of the executive director, whether a developmental organizational culture is associated with how effective the nonprofit is at performing boundary-spanning activities. The results of the ordinary least squares model, presented in Table 3, help to shed some light on the association between developmental culture and effectiveness values in nonprofit organizations.

Table 3. OLS model for effectiveness at performing boundary-spanning activities.

	<i>b</i>	Robust <i>S E</i>	<i>t</i>	<i>p</i> (<i>t</i>)	β
Developmental culture	0.14*	0.08	1.76	0.08	0.21
No. of full-time employees	0.00	0.01	0.72	0.48	0.03
Executive-board relationship	-0.01	0.11	-0.11	0.91	-0.02
Executive tenure	-0.02	0.03	-0.45	0.66	-0.59
Organizational age	0.02	0.02	1.31	0.20	0.17
Founder	-0.21	0.56	-0.38	0.70	-0.04
Government funding (%)	0.02**	0.01	1.97	0.05	0.25
No. of board members	0.40**	0.01	2.89	0.01	0.19
Constant	7.09	1.97	3.60	0.00	

Note: $F(8, 65) = 3.83$; Prob.> $F = 0.001$; $R^2 = 0.18$; Root MSE = 2.10; *** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$; $n = 74$.

The results presented in Table 3 confirm the hypothesis and indicate that a significant relationship exists between developmental organizational cultures and how effective executive directors perceive their organization to be at fostering external support, promoting growth, and acquiring new resources. Specifically, a positive ($b = 0.13$) and significant association ($p < 0.10$) association was found between developmental organizational culture and how effective executive directors perceive their organization to be at performing boundary-spanning activities. The standardized coefficient for developmental culture is ($\beta = 0.21$), the second-largest in the model, indicating its relative importance for explaining perceptions of effectiveness related to boundary-spanning activities in nonprofit organizations.

As proposed by the CVCF, this finding confirms that executive directors perceive there to be a positive and significant link between developmental organizational culture and organizational effectiveness at boundary-spanning activities. This finding in itself expands our understanding of the CVCF and provides empirical support for the framework's applicability in a nonprofit setting. Yet, perhaps more importantly, what this finding may indicate is that nonprofit executive directors see organizational culture as something more than a phenomenological construct that is only to be experienced. Rather, perceiving there to be a significant link between developmental culture and organizational effectiveness at boundary-spanning activities suggests that executive directors, in this instance, may also see view organizational culture as a practical element of organizational life that helps to shape and promote specific types of organizational outcomes. As such, executive directors who examine their own organization's culture-effectiveness relationship may be able to gain valuable insight into what behaviors the organization's beliefs and values signal as appropriate to members, and in turn whether or not these behaviors help the organization to achieve the ends it deems effective.

Of the control variables included in the model, Percentage of government funding and Number of board members were found to be significantly associated with how effective executive directors believe their organization is at performing boundary-spanning activities. Percentage of government funding was found to have a positive ($b = 0.02$) and significant ($p < 0.05$) association with executive perceptions of organizational effectiveness. It should be noted that the standardized coefficient for the percentage of government funding is the largest in the model ($\beta = 0.18$). This result suggests that as the percentage of government funding an organization receives increases, executives are more likely to view the organization as effective at performing boundary-spanning activities that foster external support, growth, and resource acquisition. This finding can be interpreted in multiple ways. On the one hand, because government funding is seen as one of the most stable, continuous, and predictable sources of revenue for nonprofits (Gronbjerg, 1993; Lacey & Van Slyke, 2012), it may be that an increase in this type of funding will

provide them with the resources needed to expand their capacity (LeRoux, 2007) and overall effectiveness at performing boundary-spanning activities. Similarly, government funding may provide signals about the overall quality, reputability, and health of the organization (Brooks, 2000; Lacey & Van Slyke, 2012), thus helping the organization to be more effective at activities seeking to attract additional external support and resources. Lastly, to the extent that the composite measure of effectiveness captures advocacy and engagement activities of nonprofits, this finding also provides support for earlier research which finds an increase in government funding to be positively and significantly correlated with nonprofit performance in roles related to political advocacy (Moulton & Eckerd, 2012) and citizen engagement (LeRoux, 2007).

The number of board members was also found to have a positive ($b = 0.04$) and significant ($p < 0.05$) association with the perceived effectiveness of nonprofits at performing boundary-spanning activities. This finding suggests that as the number of board members increases, executives perceive their organizations to be more effective at performing boundary-spanning activities related to fostering external support, growth, and resource acquisition. Results indicate that the standardized coefficient for the number of board members is the third-largest in the model ($\beta = 0.18$). One of the most important roles of board members is to foster external support and help the organization to acquire new resources. Therefore, this finding can be interpreted from a resource-dependence perspective, which suggests that larger boards might be better able to supply an organization with needed resources, broadly construed to include both funding and organizational support (Brown, 2005). Specifically, this finding provides support for earlier research findings that have found a positive association between larger boards and the organization's ability to acquire resources and increase funding (Brown, 2005; O'Regan & Oster, 2005).

Conclusion

Before discussing the implications of the findings, it is important to note the limitations of this study. First, the analysis relies on cross-sectional survey data, which enables an exploration of the associations between variables, but limits the ability to make causal claims. It is important to note that there is no assertion of causation here, because the study is simply an exploratory analysis that looks at the association between developmental culture and effectiveness at boundary-spanning activities in the nonprofit context. Second and perhaps most obvious, while it is important to study constructs like culture and effectiveness, which are partially socially constructed, from the viewpoint of the executive director, it is acknowledged that the analysis is subject to the challenges that come with data that rely on the self-reporting of perceptions. Future work can improve upon this study by examining these relationships

using data that are not fully reliant on respondent perceptions. Third, while the focus is solely on examining the relationship between the existence of developmental organizational cultures in nonprofits and effectiveness at boundary-spanning activities, some organizations may embody multiple cultures (Quinn & Kimberly, 1984, p. 300), and different cultures might influence their effectiveness. Future studies examining the links between organizational culture and effectiveness could build upon this exploratory study by investigating the associations between other culture types and salient effectiveness criteria, and by examining the ways in which organizations balance competing cultures and how competing cultures influence effectiveness criteria. Further, while the CVCF provides a parsimonious way to investigate the culture–effectiveness relationship, one might ask whether or not developmental cultures are associated with other measures of effectiveness, such as organizational stability or profit/impact. In other words, can the framework itself be improved upon? Despite the limitations, the study presented in this article takes an important initial step at testing the CVCF and the links between developmental culture and culturally bound effectiveness values in nonprofit organizations in order to better understand managerial perceptions of the links between organizational culture and effectiveness.

Overall, the study reveals that executive directors perceive a positive and significant link between developmental culture and effectiveness at boundary-spanning activities. Entrepreneurial theories of nonprofit organizations contend that one of the primary reasons for the existence of nonprofit organizations is to act as a space for the innovative pursuit of ideological transformation or change (Rose-Ackerman, 1996). In part, ideological transformation and change are thought to be achieved when nonprofits are able to maximize both monetary and nonmonetary returns, such as gaining believers, adherents, or members to their cause (James, 1987, 1989; Rose-Ackerman, 1996). Developmental cultures, as outlined by the CVCF, support these contentions and link them with an organization's ability to foster external support, grow, and acquire resources. To the extent that effectiveness at increasing organizational funding, influencing policy and government decisions, raising public awareness of the organization's cause and communicating with stakeholders through social media represents the ability to acquire resources, grow, and cultivate external support by gaining adherents or believers, the findings support both the entrepreneurial theories of nonprofits and the propositions set forth by the CVCF. Further, to the extent that these boundary-spanning activities help an organization to take advantage of opportunities and resources in the environment, this study also supports theories of innovation and helps us to understand how executive directors view organizational culture and its important role in helping to manage environmental demands and promote organizational effectiveness.

Long recognized for the vanguard role that they play in U.S. civil society, nonprofit organizations act as places and spaces that supply the innovative means necessary for addressing complex social problems (Anheier, 2005; James, 1987, 1989; Rose-Ackerman, 1996). Jaskyte (2004) posits that nonprofit organizations that fulfill this vanguard role and develop a culture of innovation will be more responsive to changes in their external environment and thus will become more effective. In recent years, the environment in which many nonprofits operate has become increasingly turbulent due to increased demands for services, shifts in institutional structures, and a changing funding landscape, perhaps highlighting the importance of developmental cultures in a nonprofit setting. However, the complexity of nonprofit organizations and the often-competing demands of their operational elements, such as mission, money, clients, and funders, have given rise to institutional structures that often must manage diverse cultures. This means that, while the study confirms that a developmental culture may help nonprofits to be effective in many respects, such as fostering support and resource acquisition, it is also important to recognize and balance developmental cultures with other culture types in order to meet the varied expectations of diverse stakeholder groups. This research takes an important first step at investigating these important facets of organizational life.

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Note

1. The National Nonprofit Organizational Studies Project (NOSP) was collected in partnership with the Institute for Policy and Civic Engagement at the University of Illinois-Chicago. The scope of this project was extensive, and the overall project has many purposes beyond the investigation of the specific research questions discussed in this article. The NOSP project surveyed executive directors/CEOs from a random sample of nonprofit human service organizations across the United States. A total of 778 organizations were surveyed, and the overall project had a response rate of 37% ($n = 291$). Organizations were sampled primarily from the NTEE codes representing "center-based" human services including mental health centers, senior centers, workforce development centers, and family-planning centers. Response rates were comparable across types. To avoid an excessively long survey, a common core of questions was administered to all subjects, and varying question modules were administered to smaller random samples across the full sample. Approximately half of the full sample was randomly selected (364

organizations) to receive the “culture module” containing the questions about perceptions of organizational culture. The data for the analysis came from this subset of respondents.

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Appendix

Description of variables and measures

	Description/coding
Dependent variable	
Effectiveness at performing boundary-spanning activities that foster external support, growth, and resource acquisition	Composite scale comprised of four items asking executive director “How would you describe the effectiveness of your organization with regard to” (1) influencing policy or government decisions (local, state or national) that pertain to the organization’s mission, (2) raising public awareness of your cause, (3) communicating with stakeholders through social media, and (4) increasing the organization’s funding. Item was measured on a 6-point scale, with 1 = <i>not at all effective</i> , 2 = <i>marginally effective</i> , 3 = <i>somewhat effective</i> , 4 = <i>largely effective</i> , 5 = <i>completely effective</i> .
Independent variable	
Developmental culture	Summed index of five survey items. Executive directors were asked to indicate their agreement with the statements (1) My organization is a dynamic and entrepreneurial place. (2) Staff are encouraged to stick their necks out and take risks. (3) The glue that holds my organization together is a commitment to innovation and development; there is an emphasis on being best. (4) My organization places a premium on growth and acquiring new resources. (5) Readiness to meet new challenges is of utmost importance in my organization. The original items were measured on a 5-point scale, with 1 = <i>strongly disagree</i> , 2 = <i>somewhat disagree</i> , 3 = <i>neutral</i> , 4 = <i>somewhat agree</i> , and 5 = <i>strongly agree</i> . Measures were adapted from Cameron & Freeman (1991).
Control variables	
Executive–board relationship: Gap between actual board involvement and executive director’s preferred level of board involvement in mission-setting and oversight	Created from two sets of survey items. The first captured executive director’s preferred level of board involvement in: determining purpose and services of the organization, identifying strategies for future development, budget process, setting long-term financial goals, developing annual program/service goals, evaluating accomplishments. Next, executive directors were asked to rate their board’s actual involvement in each of these tasks. All items were measured on a 5-point scale, with 1 = <i>none</i> , 2 = <i>low</i> , 3 = <i>some</i> , 4 = <i>somewhat high</i> , 5 = <i>high</i> . The difference between executive directors’ preferred vs. actual board involvement was calculated for each of the items, and these differences summed to create the dependent variable.
Government funding (%)	Measured through a survey question asking respondent to indicate the percentage of total revenue coming from government funding.
No. of FTEs	Measured through a survey question asking respondents to indicate the number of full-time equivalent employees currently employed by the organization.
Organization age	Calculated by subtracting the year of incorporation from the survey year (2012).
Executive director founder	Dichotomous measure capturing whether the executive director was a founder of the organization (1 = <i>yes</i> , 0 = <i>no</i>).
Executive director tenure	Measured through survey item asking executive director how long he/she has held current position.
No. of board members	Total number of board members, captured through a survey item asking how many persons currently served on the board of directors.